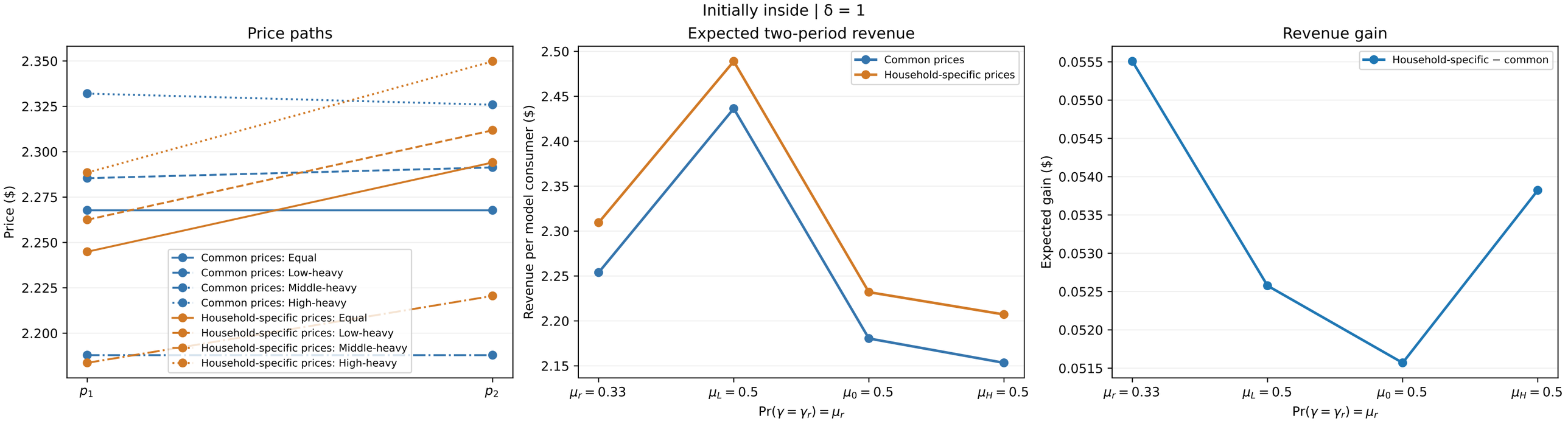
Initially inside | δ = 1
Price paths
Price ($)
2.350
2.325
2.300
2.275
2.250
2.225
2.200
p_1
p_2
Common prices: Equal
Common prices: Low-heavy
Common prices: Middle-heavy
Common prices: High-heavy
Household-specific prices: Equal
Household-specific prices: Low-heavy
Household-specific prices: Middle-heavy
Household-specific prices: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
2.50
2.45
2.40
2.35
2.30
2.25
2.20
2.15
Common prices
Household-specific prices
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
0.0555
0.0550
0.0545
0.0540
0.0535
0.0530
0.0525
0.0520
0.0515
Household-specific − common
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$